Measuring Success

Pick metrics that show customers got value, break them into levers, and keep them from being gamed.

WHAT TO MEASURE

Inputs and outputs AMAZON

input you can move →

output you care about

→ pick levers a team can act on this week

Test each input: write **the laziest way to hit it**.

⚠ an input hit with a shortcut

North Star AMPLITUDE

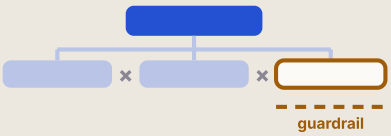
a count of the value customers get

→ steering the whole company

5 tests: value · vision · actionable · leads revenue · **out of one team's reach**

⚠ a rate can rise as the business shrinks

Metric tree DUOLINGO



→ find the lever that moves the top most

Top = a **multiplication**. Every branch has an owner.

⚠ branches are rarely independent

HEART GOOGLE, 2010

Goals → Signals → Metrics

→ is this experience good?

⚠ tracking all five

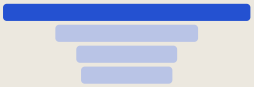
AARRR MCCLURE

Acquire · Activate · Retain · Refer · Revenue

→ where is the business losing people?

⚠ assumes a simple funnel

Funnels and cohorts



→ where people drop; who sticks

⚠ a gap is a lead, not a cause

NPS REICHHELD

% promoters – % detractors

→ a company health signal

⚠ not a feature's success metric

A metric drops

1 · check the data → **2 · outside segments** → **3 · inside segments**

→ points or percent? agree first

⚠ the routine finds where, not why

Guardrails GOODHART · STRATHERN



→ set a baseline and a limit before the target

⚠ too many guardrails freeze a team

THREE RULES

Steer by a count that grows with value.

When a number drops, check the data first.

Set the guardrail before the target.

WHEN THESE MISLEAD YOU

An easy input: probably measures the shortcut

A rising rate: can hide a shrinking business

NPS for a feature: moves months later, mixed with everything

A guardrail added later: looks like an excuse

When a measure becomes a target, it stops being a good measure.

Sources: Bryar & Carr, *Working Backwards* (2021); Amplitude, North Star Playbook; Mazal, Lenny's Newsletter (2023); Rodden et al., CHI 2010; McClure (2007); Keiningham et al. (2007); Strathern (1997).